

The Board of Directors of NIC Bank Limited is pleased to announce the Audited financial results of the Group and Bank for the year ended 31st December 2014

STATEMENT OF FINANCIAL POSITION		GROUP		BANK	
		31st Dec, 2014 Audited Shs '000	31st Dec, 2013 Audited Shs '000	31st Dec, 2014 Audited Shs '000	31st Dec, 2013 Audited Shs '000
ASSETS					
Cash (both Local & Foreign)		1,472,964	1,470,152	1,026,642	1,094,149
Balances due from Central Banks		9,066,532	7,273,392	8,079,859	5,950,797
Kenyan Government securities held for dealing purposes		-	-	-	-
Financial assets at fair value through profit & loss		126,762	155,334	-	-
Investment Securities:					
a) Held to Maturity					
a. Kenya Government securities		3,197,123	3,972,106	3,197,123	3,972,106
b. Other securities		2,319,274	1,516,326	-	-
b) Available for sale:					
a. Kenya Government securities		13,256,989	11,974,223	13,256,989	11,974,223
b. Other securities		323,537	475,161	-	-
Deposits and balances due from local banking institutions		569,774	518,795	145,853	174,441
Deposits and balances due from banking institutions abroad		8,184,135	5,401,404	7,698,570	4,014,967
Tax recoverable		185,185	188,847	56,570	-
Loans and advances to customers (net)		102,042,135	83,493,313	94,424,035	77,114,087
Balances due from banking institutions in the group		-	-	2,080,028	2,029,916
Investments in associates		-	-	-	-
Investments in subsidiary companies		-	-	3,931,501	3,365,493
Investments in joint ventures		-	-	-	-
Investment properties		-	-	-	-
Property and equipment		1,595,110	1,119,264	843,775	825,910
Prepaid lease rentals		7,125	7,250	7,125	7,250
Intangible assets		1,045,559	1,095,155	548,776	629,560
Deferred tax asset		313,702	328,788	109,113	302,269
Retirement benefit asset		-	-	-	-
Other assets		2,074,598	2,073,229	1,682,025	1,461,646
TOTAL ASSETS		145,780,504	121,062,739	137,087,464	112,916,814
LIABILITIES					
Balances due to Central Banks		-	-	-	-
Customer deposits		100,434,954	91,565,005	92,791,078	84,236,189
Deposits and balances due to local banking institutions		2,405,488	3,417,396	1,619,236	2,431,233
Deposits and balances due to foreign banking institutions		3,006,176	2,478,938	3,006,170	2,478,938
Other money market deposits		-	-	-	-
Borrowed funds		14,358,480	3,628,169	13,844,209	3,628,169
Balances due to banking institutions in the group		-	-	168,093	47,741
Tax payable		12,613	306,709	-	296,595
Dividends payable		-	-	-	-
Deferred tax liability		-	-	-	-
Retirement benefit liability		-	-	-	-
Other liabilities		2,212,077	2,097,616	2,400,661	2,167,020
TOTAL LIABILITIES		122,429,788	103,493,833	113,829,447	95,285,885
EQUITY					
Paid up /Assigned capital		3,199,728	2,714,921	3,199,728	2,714,921
Share premium		2,731,255	1,208,068	2,731,255	1,208,068
Revaluation reserves		184,764	189,545	184,764	189,545
Retained earnings		16,012,995	12,592,743	15,785,977	12,591,876
Statutory loan reserves		1,041,058	975,617	919,004	729,104
Other reserves		(936,604)	(896,738)	(202,657)	(209,823)
Proposed dividends		639,946	407,238	639,946	407,238
Capital grants		-	-	-	-
		22,873,142	17,191,394	23,258,017	17,630,929
TOTAL EQUITY		23,350,716	17,568,906	23,258,017	17,630,929
TOTAL LIABILITIES AND EQUITY		145,780,504	121,062,739	137,087,464	112,916,814

STATEMENT OF COMPREHENSIVE INCOME		GROUP		BANK	
		31st Dec, 2014	31st Dec, 2013	31st Dec, 2014	31st Dec, 2013
INTEREST INCOME					
Loans and advances		11,369,024	9,604,199	10,379,895	8,592,080
Government securities		2,079,755	1,792,456	1,784,591	1,568,197
Deposits and placements with banking institutions		262,289	245,761	211,839	152,981
Other Interest Income		-	-	-	-
TOTAL INTEREST INCOME		13,711,068	11,642,416	12,376,325	10,313,258
INTEREST EXPENSE					
Customer deposits		5,062,509	4,001,168	4,567,464	3,535,051
Deposits and placement from banking institutions		209,689	216,494	163,289	122,930
Other interest expenses		440,750	156,775	366,093	144,972
TOTAL INTEREST EXPENSE		5,712,948	4,374,437	5,096,846	3,779,478
NET INTEREST INCOME		7,998,120	7,267,979	7,279,479	6,533,780
OTHER OPERATING INCOME					
Fees and commissions on loans and advances		1,073,526	880,429	983,368	799,318
Other fees and commissions		458,767	634,665	372,781	336,894
Foreign exchange trading income		1,142,181	1,146,510	1,039,583	1,018,443
Dividend Income		-	-	-	-
Other income		898,705	556,715	591,330	465,460
TOTAL NON-INTEREST INCOME		3,573,179	3,218,319	2,987,062	2,620,115
TOTAL OPERATING INCOME		11,571,299	10,486,298	10,266,541	9,153,895
OPERATING EXPENSES					
Loan loss provision		329,133	1,092,873	295,494	479,185
Staff costs		2,340,544	2,151,757	1,903,480	1,744,568
Directors' emoluments		220,398	215,751	148,459	152,282
Rental charges		299,709	252,667	173,819	138,420
Depreciation charge on property and equipment		297,278	249,232	215,413	202,772
Amortisation charges		207,357	196,875	176,441	161,193
Other operating expenses		1,646,230	1,317,571	1,272,154	1,054,618
TOTAL OPERATING EXPENSES		5,340,649	5,476,726	4,185,260	3,933,038
Profit before tax and exceptional items		6,230,650	5,009,572	6,081,281	5,220,857
Exceptional items		-	-	-	-
PROFIT AFTER EXCEPTIONAL ITEMS		6,230,650	5,009,572	6,081,281	5,220,857
Current tax		(2,024,456)	(1,803,410)	(1,973,563)	(1,854,684)
Deferred tax		(89,520)	31,140	(88,551)	19,403
PROFIT AFTER TAX AND EXCEPTIONAL ITEMS		4,116,674	3,237,302	4,019,167	3,385,576
Other Comprehensive Income:					
a. Exchange differences on translation of foreign operations		42,269	(122,324)	-	-
b. Fair value changes in available-for-sale financial assets		(79,089)	(175,407)	7,166	(179,036)
c. Revaluation surplus on property, plant and equipment		-	39,243	-	39,243
d. Share of comprehensive income of associates		-	-	-	-
e. Income tax relating to components of other comprehensive income		-	-	-	-
OTHER COMPREHENSIVE INCOME FOR THE YEAR NET OF TAX		(36,820)	(258,488)	7,166	(139,793)
TOTAL COMPREHENSIVE INCOME FOR THE YEAR		4,079,854	2,978,814	4,026,333	3,245,783
EARNINGS PER SHARE- BASIC & DILUTED		7.07	6.12	6.90	6.24
INTERIM DIVIDEND PER SHARE - PAID		-	0.25	-	0.25
FINAL DIVIDEND PER SHARE - DECLARED		1.00	0.75	1.00	0.75

OTHER DISCLOSURES		GROUP		BANK	
		31st Dec, 2014	31st Dec, 2013	31st Dec, 2014	31st Dec, 2013
1. NON-PERFORMING LOANS AND ADVANCES					
(a) Gross Non-performing loans and advances		6,899,672	6,597,413	5,968,828	5,082,652
(b) Less interest in suspense		2,867,664	2,076,487	2,724,737	1,943,931
(c) TOTAL NON-PERFORMING LOANS AND ADVANCES (a-b)		4,032,008	4,520,926	3,244,091	3,138,721
(d) Less loan loss provision		2,680,360	2,592,033	2,301,711	1,996,325
(e) NET NON-PERFORMING LOANS AND ADVANCES (c-d)		1,351,648	1,928,893	942,380	1,142,396
(f) Discounted value of securities		1,351,648	1,928,893	942,380	1,142,396
(g) NET NPLS EXPOSURE (e-f)		-	-	-	-
2. INSIDER LOANS AND ADVANCES					
(a) Directors, shareholders and Associates		1,707,952	1,133,253	1,664,953	1,133,253
(b) Employees		1,037,274	822,165	999,931	781,758
(c) TOTAL INSIDER LOANS AND ADVANCES AND OTHER FACILITIES		2,745,226	1,955,418	2,664,884	1,915,011
3. OFF-BALANCE SHEET ITEMS					
(a) Letters of credit, guarantees, acceptances		16,156,604	15,173,538	16,379,472	14,502,794
(b) Forwards, swaps and options		32,567,890	34,630,655	30,381,438	24,858,686
(c) Other contingent liabilities		133,924	132,300	-	-
(d) TOTAL CONTINGENT LIABILITIES		48,858,418	49,936,493	46,760,910	39,361,480
4. CAPITAL STRENGTH					
(a) Core capital		-	-	18,826,499	14,108,111
(b) Minimum statutory capital		-	-	1,000,000	1,000,000
(c) Excess (a-b)		-	-	17,826,499	13,108,111
(d) Supplementary capital		-	-	8,513,693	767,875
(e) TOTAL CAPITAL (a+d)		-	-	27,340,192	14,875,986
(f) TOTAL RISK WEIGHTED ASSETS		-	-	131,044,542	95,219,586
(g) Core capital / Total deposits liabilities		-	-	20.47%	16.79%
(h) Minimum statutory ratio		-	-	8.00%	8.00%
(i) Excess (g-h)		-	-	12.47%	8.79%
(j) Core capital / Total risk weighted assets		-	-	14.37%	14.82%
(k) Minimum statutory ratio		-	-	10.50%	8.00%
(l) Excess (j-k)		-	-	3.87%	6.82%
(m) Total capital / Total risk weighted assets		-	-	20.86%	15.62%
(n) Minimum statutory ratio		-	-	14.50%	12.00%
(o) Excess (m-n)		-	-	6.36%	3.62%
5. LIQUIDITY					
(a) Liquidity ratio		-	-	33.08%	28.54%
(b) Minimum statutory ratio		-	-	20.00%	20.00%
(c) Excess (a-b)		-	-	13.08%	8.54%

ANNUAL GENERAL MEETING

Notice is hereby given that the fifty fifth Annual General Meeting of the shareholders of NIC Bank Limited will be held at the Kenyatta International Conference Centre (KICC) – Tsavo Ball Room, Nairobi, on Wednesday 20th May, 2015 at 11.00a.m.

DIVIDEND

The Directors recommend the payment of a first and final dividend of Shs 1.00 per share (2013 – interim dividend of Shs 0.25 and a final dividend of Shs 0.75 per share). The dividend payment is subject to approval by the shareholders at the Annual General Meeting and dividend warrants will be posted on or about 20th May, 2015 to all members on the register at the close of business on 9th April, 2015.

The register of members will be closed for one day on 10th April, 2015.

MESSAGE FROM THE DIRECTORS

The Statement of Financial Position and Statement of Comprehensive Income are extracts from the Bank's financial statements as audited by PricewaterhouseCoopers and have received an unqualified opinion.

A full set of published accounts will be available from our Registrars and Transfers Office, Custody & Registrar Services Ltd, Bruce House, Nairobi and online at www.nic-bank.com after approval by members at the Annual General Meeting.

The financial statements were approved and authorized for issue by the Board of Directors on 4th March 2015 and were signed on its behalf by:

J P M Ndegwa Chairman	J Gachora Group Managing Director
F N Mwanzia Director	Livingstone Murage Group Company Secretary



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